ENGULFED IN A CRISIS

WHAT IS GCC

***The Gulf Cooperation Council** (GCC) is a political and economic alliance of six Middle East countries—Saudi Arabia, United Arab Emirates (UAE), Qatar, Kuwait, Oman and Bahrain. Established in 1981, it seeks to achieve unity and cooperation amongst the members based on common goals and their Arab-Islamic cultures*



THE OIL ECONOMY

32.6% of the world's total crude oil reserves lie with the GCC states



22% GCC's share in global oil supply

17% GCC's share in global natural gas production

OIL REVENUE LOST

15.8 million barrels/ day Crude oil blocked at the Strait of Hormuz

$1.1 billion Oil revenue lost every day by GCC states and Iraq

THE INVESTMENT HUB

$2.3 trillion Total GDP of GCC countries (2025)

$6 trillion Assets of GCC sovereign wealth funds

$894 billion Total FDI received (2024)

40% Share in global SWF assets

The deathly rattle of missiles and drones may have eased following the April 7 announcement of a two-week ceasefire by the principal combatants of the 39-day US-Israel-Iran war. The truce was hammered out hours before President Donald Trump's deadline—to obliterate "a whole civilisation"—was about to expire. Yet across the Gulf, there is little illusion that this tenuous pause will translate into lasting peace. The scale of disruption in the region has been unprecedented in recent memory. It has laid bare the Gulf's vulnerabilities, damaged its economic engines, and punctured its carefully cultivated image of stability in ways that may take years to repair.

From Saudi Arabia to the United Arab Emirates (UAE), Qatar to Oman, and across Bahrain and Kuwait, the six states of the Gulf Cooperation Council (GCC) find themselves confronting the same unsettling reality—that the war may not have been theirs, but its consequences are. As one expert bluntly puts it, the conflict has already "destroyed years of careful investment in the security and prosperity" of these states. The ceasefire, therefore, is not an end, only an interlude. And what it reveals is a Gulf that is wounded, wary and recalibrating.

If the Gulf states bore the brunt of the cost of war, it was because a beleaguered Iran adopted a high-risk, two-pronged strategy to combat the conventional military superiority of America and Israel, prevent the collapse of its internal regime and retain its nuclear and ballistic missile ambitions. Its first weapon was the Strait of Hormuz, the